

Street's salespeople often describe convertibles as a "best of both worlds" investment. But the intelligent investor will quickly realize that convertibles offer less income and more risk than most other *bonds*. So they could, by the same logic and with equal justice, be called a "worst of both worlds" investment. Which side you come down on depends on how you use them.

In truth, convertibles act more like stocks than bonds. The return on convertibles is about 83% correlated to the Standard & Poor's 500-stock index—but only about 30% correlated to the performance of Treasury bonds. Thus, "converts" zig when most bonds zag. For conservative investors with most or all of their assets in bonds, adding a diversified bundle of converts is a sensible way to seek stock-like returns without having to take the scary step of investing in stocks directly. You could call convertible bonds "stocks for chickens."

As convertibles expert F. Barry Nelson of Advent Capital Management points out, this roughly \$200 billion market has blossomed since Graham's day. Most converts are now medium-term, in the seven-to-10-year range; roughly half are investment-grade; and many issues now carry some call protection (an assurance against early redemption). All these factors make them less risky than they used to be.³

It's expensive to trade small lots of convertible bonds, and diversification is impractical unless you have well over \$100,000 to invest in this sector alone. Fortunately, today's intelligent investor has the convenient recourse of buying a low-cost convertible bond fund. Fidelity and Vanguard offer mutual funds with annual expenses comfortably under 1%, while several closed-end funds are also available at a reasonable cost (and, occasionally, at discounts to net asset value).⁴

On Wall Street, cuteness and complexity go hand-in-hand—and convertibles are no exception. Among the newer varieties are a jumble of securities with acronymic nicknames like LYONS, ELKS, EYES, PERCS, MIPS, CHIPS, and YEELDS. These intricate securities put a "floor" under your potential losses, but also cap your potential profits and often compel you to convert into common stock on a fixed date. Like most investments that purport to ensure against loss (see sidebar on p. 421), these things are generally more trouble than they are worth. You can best shield yourself against loss not by buying one of these quirky contraptions, but by intelligently diversifying your entire portfolio across cash, bonds, and U.S. and foreign stocks.